

BEFORE THE FEDERAL MARITIME COMMISSION

DOCKET NO.: 25-11

PHILLIP MARCIANO LLC
Complainant,

v.

US CARGO SERVICES INC.
Respondent

BRIEF IN RESPONSE TO AUGUST 26, 2025 ORDER

JASON J. REBHUN, being duly admitted to practice law in the states and federal courts of New York and New Jersey, affirms the following under the penalties of perjury:

1. I am counsel to the Complainant Phillip Marciano LLC (“Complainant”) in this matter. As such, I am fully familiar with the facts and circumstances herein.
2. I submit this additional brief in response to the August 26, 2025 Order signed by the Honorable Erin M. Wirth, Chief Administrative Law Judge.

THE COMPLAINT PLAUSIBLY ALLEGES THE FIVE ELEMENTS WHICH ARE REQUIRED FOR A SECTION 41102(c) CLAIM

3. A successful claim pursuant to 46 U.S.C. 41102(c) requires the Complainant to establish the following:
 - a. The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
 - b. The claim acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;

- c. The practice or regulation related to or is connected with receiving, handling, storing or delivering property;
 - d. The practice or regulation is unjust or unreasonable; and
 - e. The practice or regulation is the proximate cause of the claimed loss.
- 4. Complainant contends that its complaint plausibly alleges the five elements required for a claim pursuant to section 41102(c) enabling the complaint to survive dismissal and proceed to discovery to: (1) determine Respondent's relationship with Hassan who via letter dated July 7, 2025 claims to be in possession of the subject shipments; and (2) locate the subject shipments after they were released from the stateside port by Respondent.
- 5. Respondent admits that it is a non-vessel operating common carrier which is considered an "ocean transportation intermediary" pursuant to 46 U.S.C. 40102(20). Thus, the first element is satisfied (respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary).
- 6. Complainant alleges that Respondent was responsible for final delivery of the subject shipments pursuant to three separate Bills of Lading. During the pendency of this action, it appears that Respondent was responsible for delivery of two additional cargo containers made subject to a fourth Bill of Lading (**Exhibit 1** hereto), delivery of which has also been withheld at Hassan's direction. This led Complainant to amend its complaint in the pending District Court Action (25-cv-11944-MEF-JBC – the "District Court Action") to include a claim stemming from the fourth (and additional) Bill of Lading. A copy of the Amended Complaint filed in the District Court is annexed hereto as **Exhibit 2**.
- 7. Coupling: (1) the allegations regarding the three subject Bills of Lading; (2) the additional Bill of Lading governing the two additional containers; and (3) the July 7 2025 Hassan Letter which

underscores that Respondents are Tausif's "exclusive" shipping forwarder and at Tausif's direction, Respondent has breached the Bills of Lading, Complainant has plausibly alleged that Respondent's conduct occurs on a normal, customary and continuous basis (at least in regard to Complainant's goods). Thus, Complainant has satisfied the second element of section 41102(c) (claim acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis) which also necessitates discovery on Respondent's patterns.

8. The Complaint alleges that Respondent intentionally withheld delivery of Complainant's goods before redirecting them to Hassan at Hassan's direction. This plausibly alleges that Respondent's practices, at least in regard to the subject shipments and others highlighted in the District Court Action, are intertwined with the delivery of Complainant's property which satisfies the third element (the practice or regulation related to or is connected with receiving, handling, storing or delivering property).
9. Respondent's refusal to complete delivery in accordance with the Bills of Lading, seemingly done at the behest of Tausif Hassan for no legitimate or legal reason, is undoubtedly unjust and unreasonable. Thus, the Complaint satisfies the fourth element (practice or regulation is unjust or unreasonable). It has also prevented Complainant from receiving the seasonal goods and being able to sell them in a timely fashion and before the market/season expires.
10. Finally, the non-delivery of Complainant's goods (worth in excess of \$230,000.00), needed to complete "in season" sales to its retail clients led to Complainant incurring damages in the form of canceled orders, loss of business relationships and good will, and demurrage/equipment charges due to Respondent's refusal to complete delivery. This satisfies the fifth and final element (practice or regulation is the proximate cause of the claimed loss) to support Complainant's claim.

11. Accordingly, the Complaint plausibly alleges all five elements supporting a claim pursuant to 46 U.S.C. 41102(c).

**IT IS ALLEGED THAT RESPONDENT WAS ACTING AS A NON-VESSEL
OCEAN COMMON CARRIER FOR THE SUBJECT SHIPMENTS**

12. The Complaint alleges that Respondent, acting as freight forwarded for the relevant shipments, intentionally withheld delivery of Complainant's goods before redirecting them to Hassan at Hassan's direction. Although Respondent admits that it is a NVOCC, Complainant cannot, without further discovery regarding the actual relationship between Respondent and Tausif Hassan, conclude that the formal relationship between Respondent and Tausif Hassan or determine whether or not Respondent was able to ignore instructions provided by Hassan. Between all the parties and entities involved, Plaintiff has heard all sorts of finger pointing and excuses but what has been made clear is that Respondent was responsible for coordinating the subject shipments and refused to do so at a third-parties' direction (Hassan).
13. Per the July 7, 2025 Hassan Letter, the Commission is now aware that Hassan directed Respondent to not complete delivery of the subject shipments for the sole reason that Hassan (and not Respondent) claims that Complainant owed Hassan some unverified balance of money that is unrelated to the subject shipments. Put another way, Respondent intentionally breached the Bills of Lading and violated the Shipping Act at the direction of Hassan.
14. Complainant must be afforded an opportunity to discover evidence/information into the relationship between Tausif and US Cargo after the admissions made in the July 7, 2025 Hassan Letter. Respondent acknowledged that they have a contractual relationship with Hassan and admitted that they are an NVOCC and thus governed by the Shipping Act. Respondent's conduct leading up the commencement of this action coupled with the allegations in the District Court Action indicates US Cargo Services Inc.'s involvement "across the board."

More, why engage with our office in pre-litigation settlement negotiations if they truly had no involvement?

15. Accordingly, Complainant confidently alleges that Respondent was acting as an NVOCC in relation to the subject shipments and regardless if Respondent was able to ignore Hassan, by not doing so violated the Shipping Act.

HASSAN'S CLAIM THAT RESPONDENT IS HIS EXCLUSIVE SHIPPING FORWARDER IS RELEVANT TO HIGHLIGHT RESPONDENT'S RELATIONSHIP TO THIS MATTER WHICH LED TO THE VIOLATION OF THE SHIPPING ACT

16. Complainant engaged Hassan through his entity D and T Apparels to coordinate the delivery of the subject shipments. Hassan engaged Respondent, an NVOCC governed by the Shipping Act, to receive the shipments at the ports stateside and complete (or coordinate) delivery of the shipments to Complainant.
17. The relevance of Hassan's admission that Respondent is his "exclusive shipping forwarder" highlights that Respondent is working closely with Hassan, who is "pulling the strings" to purposely frustrate the delivery of Complainant's goods (to force Complainant to pay Hassan more money than is owed, if any) Respondent admits to having a contractual relationship with Hassan and has willingly violated the Shipping Act at Hassan's direction.
18. Thus, the argument that Respondent is the exclusive shipping forwarder of Hassan, coupled with Respondent's admission that it has a contractual relationship with Hassan underscores the need for discovery as to the relationship with hopes that it leads to Complainant ascertaining the location that Respondent forwarded its goods after refusing to complete delivery to Complainant.

THE FEDERAL MARITIME COMMISSION HAS JURISDICTION OVER THIS MATTER

19. Complainant also maintains the District Court action against Respondent and other entities involved regarding the contractual violations in relation to the subject shipments. However, given the violations of the Shipping Act which led to unnecessary demurrage charges being incurred by Complainant, this Complaint was brought to hold Respondent accountable for such violations.
20. Your Honor recently held in Samsung Electronics America, Inc. v. ZIM Intergrated Shipping Service LTD., Docket No. 22-30, [2025 FMC LEXIS 304](#) that: “The Shipping Act provides that a "person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part." 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See* Anchor Shipping Co. v. Aliança Navegação E Logística Ltda., Docket No. 02-04, 30 S.R.R. 991, 2006 WL 2007808, at *10-11 (FMC May 10, 2006) (the Commission is obligated to hear allegations particular to the Shipping Act, even where the complainant has already obtained an arbitration award for related breach of contract claims); *see also* Cargo One, Inc. v. COSCO Container Lines Co., Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000) (the Commission must address allegations of violations of the Shipping Act, which are within its exclusive jurisdiction; no common law remedy exists for such violations). The Commission has an obligation to address Shipping Act claims, even if the relevant facts may also give rise to other claims between the parties. MCS Industries, Inc. v. Mediterranean Shipping Company S.A., Docket No. 21-05, 2024 WL 95383, at *7 (FMC Jan. 3, 2024) (Shipping Act claims are distinct from breach of contract claims, entailing a different analysis of statutory standards that includes review of the carrier's broader practices beyond those directly affecting the complainant).

21. In light of the foregoing case law, although there is a dispute present between a shipper (Respondent and Hassan) and its consignee (Complainant), there are also violations of the Shipping Act that were committed by Respondent who was acting as an NVOCC for the subject shipments and thus governed by the Shipping Act.
22. Accordingly, the Commission has jurisdiction to hear this dispute. The Complaint should survive dismissal and parties be directed to complete discovery on the matter.
23. It is respectfully requested that the Commission deny Respondent's motion to dismiss in its entirety. The Complaint properly pleads its allegations against Respondent. The Hassan Letter as well as the Hassan Text Messages (as defined in Complainant's Affirmation in Opposition to Respondent's Motion) undermine Respondent's baseless position. Discovery is needed in this matter to at least: (1) fully understand the relationship between Respondent and Hassan; and (2) uncover where Complainant's goods were diverted to and currently located.

Dated: New York, New York
September 15, 2025

Yours, etc.

Jason J. Rebhun

Law Offices of Jason J. Rebhun, P.C.
Attorneys for Complainant
40 Wall Street, Suite 1607
New York, NY 10005
(646) 201-9392
jason@jasonrebhun.com